

**CONSOLIDATION OF CONTRACT REQUIREMENTS DETERMINATION
FOR
W912HP25RA0005
FY25 Design Build/Design Bid Build (DB/DBB) General Construction East
Multiple Award Task Order Contract (MATOC)
(As prescribed by FAR 7.107-2 and AFARS 5107.107-2)**

RATIONALE

1. Consolidation may provide substantial benefits to the Government. However, because of the potential impact on competition, before conducting an acquisition that is a consolidation of requirements with an estimated total dollar value exceeding \$2 million, a written determination shall be made that the consolidation is necessary and justified in accordance with 15 U.S.C. 657q, after ensuring that--

- (a) Market research has been conducted;
- (b) Any alternative contracting approaches that would involve a lesser degree of consolidation have been identified;
- (c) The determination is coordinated with the agency's Office of Small Disadvantaged Business Utilization or the Office of Small Business Programs;
- (d) Any negative impact by the acquisition strategy on contracting with small business concerns has been identified; and
- (e) Steps are taken to include small business concerns in the acquisition strategy.

2. Introduction: U.S. Army Corps of Engineers (USACE), Charleston District (SAC) plans to solicit offers under one solicitation for a Firm Fixed Price (FFP) Indefinite Delivery Indefinite Quantity (IDIQ) Multiple Award Task Order Contract (MATOC) to meet the needs of SAC's construction workload that will performed at two or more discrete sites (per 15 U.S.C. § 657q(a)(2)(B)) under North American Industry Classification System (NAICS) code 236220, Commercial and Institutional Building Construction. The solicitation will be 100% small business set aside and the MATOC subsequently awarded will cover the United States East of the Mississippi, with a target of seven awards. SAC has conducted analysis and market research that demonstrates consolidation of requirements in this procurement is both necessary and justified.

The MATOC will have a total combined capacity of \$ [REDACTED].

3. Description of the Procurement Action:

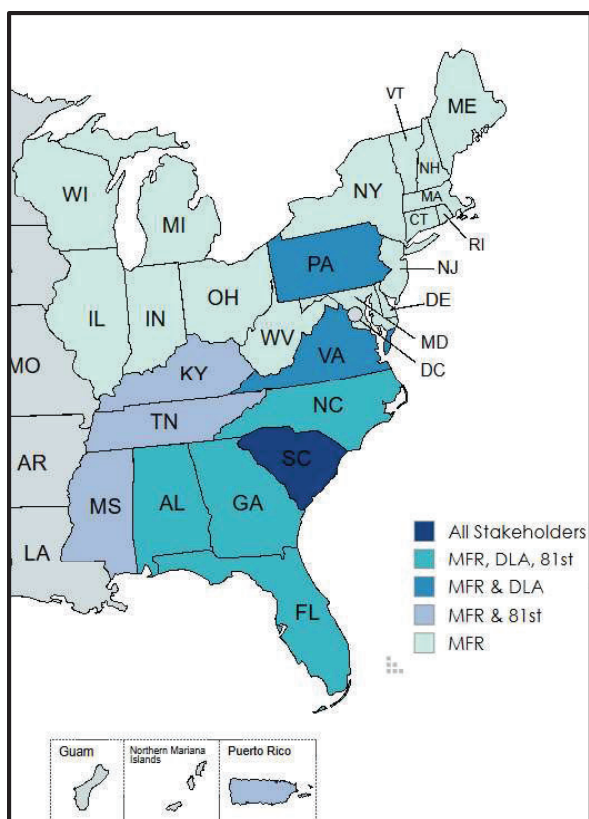
- a. Project Description:

The overall objective is to provide a Firm Fixed Price (FFP) Indefinite Delivery Indefinite Quantity (IDIQ) Multiple Award Task Order Contract (MATOC) for Design-Build (DB) and Design-Bid-Build (DBB) requirements for most SAC Programs to cover the region east of the Mississippi River. The majority of work issued under this MATOC will be Design-Build. Under this acquisition plan, SAC intends to issue one solicitation for a pool of contractors on a Firm Fixed Price (FFP) Indefinite Delivery Indefinite Quantity (IDIQ) Multiple Award Task Order Contracts (MATOCs). This is demonstrated in Figure 1 below.

This MATOC will provide a total MATOC pool capacity of \$ [REDACTED], and a performance period of a three-year base plus one two-year option period (total five years). The estimated task order range will be from the simplified acquisition threshold to \$10,000,000, and possibly up to \$25,000,000. The geographic area covered by the MATOC includes all states east of the Mississippi River including Puerto Rico (for 81st RD). The East MATOC includes but is not limited to task orders primarily for the following stakeholders: DLA, MFR, 81st RD, Joint Base Charleston (JBC), and Fort Jackson. The scope for the East MATOC is limited to assigned SAC stakeholders within this region but may also be used for other stakeholders within the SAD boundaries for task orders within the general scope if capacity is available. Work includes DBDBB construction for new facilities and real property repair and maintenance. The work may include general building repair or renovation, vertical construction, anti-terrorism force protection of new and existing facilities, horizontal construction, and incidental work.

The proposed contract vehicle will allow SAC to ensure the capacity and flexibility to execute its mission on behalf of the district's stakeholders.

Figure 1: Geographical Coverage by Stakeholder



The award will include a target of seven (7) contractors but may include more or fewer. This acquisition will consist of two phases, with a single solicitation issued for Phase One. In Phase One, proposals will be evaluated based on Past Performance (Factor 1) and Management Approach (Factor 2). Phase Two will assess the Technical Approach (Factor 3) using a seed or sample project, with price also considered (Factor 4). If a seed project is unavailable, a sample project will be used.

The purpose of this acquisition is to provide readily available contract tools that will enable SAC to proactively and quickly execute the design-build and design-bid-build new construction and renovation and repair requirements identified by all SAC Customers. The scope of work for this MATOC will be design-build and design-bid-build general construction projects and may include both renovation and new construction. This contracting effort ensures that SAC will be able to support the construction needs of all current stakeholders and other potential partners over the next five (5) years.

- b. Acquisition Strategy/Procurement Summary: To meet the new construction, renovation, and repair requirements identified by SAC Customers at their various facilities over the next five (5) years, SAC intends to award a MATOC with \$ [REDACTED] in total capacity. This MATOC will support execution of firm-fixed-price (FFP)

task orders for the missions entrusted to SAC. The scope and complexity will vary considerably between assigned projects. The period of performance will be a base period of three (3) years and a single option period for two (2) years. Individual task orders will be competitively solicited to the MATOC and negotiated to award to a single MATOC contractor. The availability of the MATOC will efficiently and effectively meet many of SAC's construction requirements and will also better position SAC to successfully meet short-fused, fiscal year-end acquisition requirements. Use of the MATOC is in the best interest of the Government with respect to timeliness, oversight, and administrative costs.

- c. **Applicability of Consolidation:** As stated above, in accordance with 15 U.S.C. § 657q and as set forth in Sec 44 of the Small Business Act, "consolidation of contract requirements", means a use of a solicitation to obtain offers for a single contract or a multiple award contract - (A) to satisfy two (2) or more requirements of the Federal agency for goods or services that have been provided to or performed for the Federal agency under two (2) or more separate contracts lower in cost than the total cost of the contract for which the offers are solicited; or (B) to satisfy requirements of the Federal agency for construction projects to be performed at two (2) or more discrete sites. The definition applies to this procurement because this proposed MATOC will be used to perform multiple construction projects awarded on individual task orders at two (2) or more discrete sites.

Requirements Being Consolidated: The planned MATOC will provide Design-Build (DB) and Design-Bid-Build (DBB) Construction at various locations, to include known requirements and requirements specifically developed in coordination with all the customers SAC supports.

- a. **Procurement History:** Historically, SAC has procured this type of work through a combination of various stand-alone C-type contracts or other general construction MATOCs task orders. Existing MATOCs with their corresponding task orders are shown in Tables 1 and 3 below. The projects listed in Table 3 are an accurate representation of the types of projects awarded under these tools and the type of work expected to be awarded under the future MATOCs.

Table 1: DB/DBB General Construction MATOCs

Contract	MATOC Title	Coverage	Capacity	Obligated ¹	Reserved ²	Remaining ³	Award & Expiration
W912HP21D2001 - 2009	DB & DBB Mini	General Construction DB & DBB Area: SAD AOR					9-Jul-21 8-Jul-26
W912HP21D6000 - 6007	DBB East	General Construction DBB-only Area: East of MS River					18-Mar-21 17-Mar-26
W912HP21D6008 - 6017	DBB West	General Construction DBB-only Area: West of MS River					18-Mar-21 17-Mar-26

¹includes modifications²reservations pushed from FY24 to FY25³obligated – reserved = remaining

Table 2 below presents the MATOC usage, ranked in descending order from largest to smallest, by Program/Stakeholder.

Table 2: MATOC Usage by Program, 3 years (descending order)

DB & DBB Mini MATOC			DBB East		
FJ	\$		DLA-Dist	\$	
NASA	\$		81st RD	\$	
DLA-Dist	\$		DLA-Disp	\$	
SRS	\$		MFR	\$	
MFR	\$		FJ	\$	
81st RD	\$		JBC	\$	
JBC	\$		SRS		
CW	\$		NASA		
DLA-Disp			CW		

Programs: DLA-Dist = Defense Logistics Agency Distribution; DLA-Disp=Defense Logistics Agency Disposition; 81st RD = Army 81st Readiness Division; MFR= Marine Forces Reserve; NASA = National

Aeronautics and Space Administration; FJ = Fort Jackson; SRS=Savannah River Site; JBC = Joint Base Charleston; CW=Civil

Table 3: DB/DBB General Construction MATOC Task Orders

DB & DBB Mini MATOC			
Task Orders	Program -- Title	Location	Obligated
W912HP21F2042	Fort Jackson - Replace HVAC Units	Columbia, SC	\$
W912HP21F2043	Fort Jackson - Pickney Canopy	Columbia, SC	\$
W912HP21F2045	Fort Jackson - B10100 HVAC	Columbia, SC	\$
W912HP22F2104	Fort Jackson - Pinckney Playground Resurface	Columbia, SC	\$
W912HP22F2105	Fort Jackson - Hill St Repair	Columbia, SC	\$
W912HP22F2106	Fort Jackson - Drill Sgt School Canopy & Electrical	Columbia, SC	\$
W912HP22F3111	MFR - KCMO Site Restoration and Demo	Kansas City, MO	\$
W912HP22F5002	SRS - Barricade 9	Aiken, SC	\$
W912HP23F0007	CW - Survey Vessel Floating Dock, SC	Charleston, SC	\$
W912HP23F1183	81 st RD - KY041 Replace Fire Alarm System	Lexington, KY	\$
W912HP23F2001	Fort Jackson - Comms Facility	Columbia, SC	\$
W912HP23F2103	Fort Jackson - Pinckney ES repairs	Columbia, SC	\$
W912HP23F2106	Fort Jackson - DB Scales CDC B4581 Repairs	Columbia, SC	\$
W912HP23F4000	NASA - MAF B220 Roof Replacement DB	New Orleans, LA	\$
W912HP23F4001	NASA - DB NASA MAF B320 & 420 Roof Rpl	New Orleans, LA	\$
W912HP23F6020	DLA - DDRT Solar	Red River, TX	\$
W912HP23F7000	JBC - Generator for SDDC, NWS CHS	Charleston, SC	\$
W912HP23F7002	JBC - Generator Install at TC Dock, NWS CHS	Charleston, SC	\$
W912HP24F6000	DLA - DDSP Solar Canopies in Parking Area & Site Work	Susquehanna, PA	\$
W912HP24F3043	MFR - Windy Hill Paraloft Roof; Atlanta	Atlanta, GA	\$
DBB East MATOC			
Task Orders	Program -- Title	Location	Obligated
W912HP21F1169	81 st RD – LA019 HVAC Reset, LA	New Orleans, LA	\$
W912HP21F1170	81 st RD – MS013 HVAC-Elec-Plumb Reset	Meridian, MS	\$
W912HP21F1172	81 st RD – MS018 HVAC-Elec-Plumb Reset	Tupelo, MS	\$
W912HP21F1173	81 st RD – AL036 HVAC Reset	Montgomery, AL	\$
W912HP21F1179	81 st RD – FL021 HVAC-Elec-Plumb Reset	Orlando, FL	\$
W912HP22F1176	81 st RD – NC026 HVAC Reset	Winterville, NC	\$
W912HP22F1196	81 st RD – NC009 HVAC, Electrical, & Plumbing Reset	Concord, NC	\$
W912HP22F1197	81 st RD – SC019 HVAC, Electrical, & Plumbing Reset	Myrtle Beach, SC	\$
W912HP22F1202	81 st RD – MS005 HVAC, Electrical, & Plumbing Reset	Hattiesburg, MS	\$
W912HP22F3026	MFR - South Bend Armory, IN	South Bend, IN	\$
W912HP22F3029	MFR - MCRC Huntsville WCR & ATFP Improvements	Huntsville, AL	\$
W912HP22F6017	DLA Disposition - Eglin AFB Building Renovations	Eglin, FL	\$
W912HP23F1104	81 st RD – FY23 NC012 HVAC Reset	Cary, NC	\$
W912HP23F1204	81 st RD – FL027 HVAC, Electrical, & Plumbing Reset	Palatka, FL	\$
W912HP23F2102	Fort Jackson - DBB Repair Bldg. 2442 Barracks	Columbia, SC	\$

W912HP23F3202	MFR - RTC Building Roof Replacement	Wilmington, DE	\$	
W912HP23F6011	DLA Disposition - Hardstand Lot	Warner Robins, GA	\$	
W912HP23F6019	DLA Disposition - Bldg. 1602 Renovations	Warner Robins, GA	\$	
W912HP24F3032	MFR - DBB MCRC ATFP & Mission Assurance Upgrades	Tampa, FL	\$	
W912HP24F3212	MFR - DBB MCRC ATFP & Mission Assurance Upgrades	Jacksonville, FL	\$	
W912HP24F1212	81 st RD - DBB GA077 Repair Site Drainage	Decatur, GA	\$	
W912HP24F2100	Fort Jackson - DBB Division Road Bridge	Fort Jackson, SC	\$	
W912HP24F6030	DLA - DDTP Bldg. 7 Reno; Tobyhanna	Tobyhanna, PA	\$	
W912HP24F2103	Fort Jackson - DBB B4275/4285 Repairs	Columbia, SC	\$	

Capacity Calculation. With zero capacity remaining in Design-Build capability, SAC lacks sufficient tools to provide design-build projects received with minimal lead time. The requested \$ [REDACTED] in total capacity will replace DB/DBB Mini \$ [REDACTED] and DBB East \$ [REDACTED]. SAC intends to use this tool for predominantly Design-Build requirements and supplement with sealed bidding procedures (FAR Part 14) or other types of standalone contracts for less complex design-bid-build requirements.

Historically DLA Distribution, MFR, and the 81st RD are the three primary users of these tools. The regional capacity amount for this MATOC is based on the anticipated workload distribution, informed by historical usage and current budgetary situations.

- d. Rationale for Consolidation: To be determined necessary and justified, the benefits of the consolidated acquisition must substantially exceed the benefits that would be derived from alternative contracting approaches that involve a lesser degree of consolidation. Such benefits may include quantifiable cost savings or price reductions, as well as other benefits, regardless of whether quantifiable in dollar amounts, to include quality improvements that will save time or improve or enhance performance or efficiency, reduction in acquisition cycle time, better terms or conditions or any other supportable benefit. Benefits that are quantifiable in dollar amounts are considered substantial if they meet the dollar amounts set forth in FAR 7.107-2(d). If the quantifiable benefits do not meet these thresholds, the approving authority may determine that consolidation is necessary and justified if critical to the agency's mission success and the procurement strategy provides for maximum practicable participation by small business.

Utilizing an IDIQ MATOC to consolidate the requirements for all of SAC's various customers and programs is necessary to meet SAC's mission objectives. It provides a contracting vehicle that minimizes acquisition planning and contract execution costs, shortens contracting lead time, ensures operational continuity, and improves competition by competing procurements at the task order level

versus relying on multiple individually competed actions with increased lead times. Use of an IDIQ is appropriate in accordance with FAR 16.501-2(a) when exact times and/or exact quantities of future deliveries are not known at the time of award. FAR 16.504(b) indicates that the Contracting Officer may use an indefinite-quantity contract when the Government cannot predetermine, above a specified minimum, the precise quantities of supplies or services that the Government will require during the contract period, and it is inadvisable for the Government to commit itself for more than a minimum quantity. The Contracting Officer should use an indefinite-quantity only when a recurring need is anticipated. This new MATOC will provide SAC with an acquisition tool and capacity to support awards in a timely and responsive manner, especially during the 3rd and 4th quarter of each fiscal year when much of the work is received and executed.

In accordance with FAR 7.107-2(e)(1), when the benefits of consolidated requirements are not quantifiable as stated at FAR 7.107-2(d)(1), the consolidation must be determined to be necessary and justified based on the anticipated benefits of being critical to the agency's mission success and that the procurement strategy provides the maximum practicable participation by small business. The benefits here are not quantifiable, but consolidation is otherwise necessary and justified. The justification for consolidation is discussed in Section "6. Consolidation Benefit Analysis."

4. Results of Market Research:

A Sources Sought Notice was posted on SAM.gov on 21 June 2024 and closed on 8 July 2024. In total, twenty-one (21) businesses responded to the notice expressing interest in the MATOC. The technical team reviewed all the submissions for the following factors, relevant experience and bonding capability. The technical team made the determination that 6 businesses had ratings indicating they could meet the needs of the work to be performed on this MATOC and 7 businesses had ratings indicating they could likely meet the need of the work to be performed on this MATOC. The remaining were given ratings indicating that they likely cannot perform the work. In total, twenty (20) responses to the sources sought notice were small businesses and one (1) was other than small business. A total of thirteen (13) 8(a) firms submitted; however, only two (2) 8(a) firms were given ratings that indicate capability of performing this work. Additionally, there were other socio-economic groups represented (HUBzone, SDVOSB, and WOSB) by the responding businesses, but none were highly represented enough to support a MATOC Pool set aside for a particular socioeconomic type.

Table 4: Sources Sought Results

Company Name	UEI	Large	SB	8a	HUBZone	SDVOSB	WOSB
2A LLC	GZ67CL86SJR6		X	X			X
Advon	YKS4HYJHGH57		X			X	
Bristol Prime Contractors, LLC	CKLDDEUNBJB4		X				
C&C Contractors, LLC	Z6ZVR3MXC9L4		X		X	X	
CMB Services Inc	XL67DLCN7U14		X	X			
Collins Construction Services, Inc	X6G6TL5D2CN5		X	X			X
DNI Trend Joint Venture, LLC	JF9KZLKWG4S3		X	X	X		
EPC SERVICE, INC	UH4JY3JCCY97		X				X
GBA Builders, LLC	L4NFXK15G6X9	X					
Impyrian LLC	NRNEMLN2LLU1		X	X			
INTERNATIONAL TOWERS LLC	WS1FVH27LE48		X	X			
JNB Services	K95KAVVLZ934		X	X			
LOCKRIDGE FBI LLC	F7RBNU8Z6MG9		X			X	
Megen Construction Company, Inc	HKDLUFL7HDS8		X				
Mountain Point, LLC	P8S4PWBGSBP9		X	X			
New Dominion Construction, LLC	LAA3W2UCHL23		X	X	X		
Reasor Building Group, LLC	H2ZDMKZLM472		X	X			
Sanalil Construction Inc	KU9QDYVSSF77		X	X			
SES Electrical LLC (Bristol Bay)	HNUQVSS87HA5		X	X			
Southeast Cherokee Construction, Inc	U8ZSN9MATNB7		X				X
T1 CONSTRUCTION LLC	HJ7KYMSUEZE9		X	X			

Following market research, it was determined that utilizing a Small Business Set-Aside is an appropriate acquisition approach as there will be adequate competition for a MATOC pool. Further limiting this MATOC will likely impact the number of offers received on some of the more complex DB projects. This determination will be documented on the DD 2579, Small Business Coordination Record.

5. Alternative Contracting Approaches and Rationale for Rejection:

When analyzing possible acquisition strategy alternatives, SAC considered stand-alone “C” type contracts and Single Award Task Order Contract (SATOCS). The Project Delivery Team (PDT) determined the most effective approach to meet the mission requirements is to utilize a MATOC and compete each project within the MATOC pool. It was determined that “C” type contracts did not provide the flexibility required to quickly respond to changes, emergencies, and year-end requirements. “C” Type Contracts

have a much higher PALT time and make it difficult to utilize a “C” contract to rapidly react to a new requirement. This is discussed in “Section 6. Consolidation Benefit Analysis (c) Acquisition Cycle Times” at greater detail. SATOCs offer higher performance risk and could be subject to a poor performing contractor that would be difficult and costly to replace, and higher cost risk without competitive pricing and due to the idea many SATOCs will have to be implemented to cover the same Area of Responsibility (AOR) creating much higher administrative costs. The analysis of the alternative approaches is as follows:

As documented in the Acquisition Plan, the PDT analyzed various contract types, including available and anticipated USACE contracts to determine the best contracting vehicle to achieve the successful completion of the construction activities in support of SAC’s Programs. Two (2) alternatives were identified and analyzed by the PDT.

- Alternative 1: No Consolidation
 - Alternative 2: Lower Degree of Consolidation
- a. Alternative 1: No Consolidation - Multiple individual contracts, covering each construction need. SAC would primarily utilize competitive Firm Fixed Price “C-type” contract awards to cover each construction need.

Cost Risk: The cost risk in utilizing this procurement type is Low because each requirement is competed separately. This approach brings the lowest risk to pricing.

Performance Risk Performance risk is medium. While there is some assurance of successful performance through competing each requirement, this benefit may be offset if SAC must frequently award contracts to new contractors and cannot establish long-term relationships with contractors performing construction under USACE managed projects.

Schedule Risk: Schedule risk is high. The time required to award a standalone contract versus individual task orders against a MATOC is significantly higher, less efficient, and would potentially not allow SAC to meet all milestones and/or mission requirements. A standalone construction contract will take between 120 days and 220 days depending on the estimated value of the requirement. Assuming 4 actions a year, two between \$250k and \$10M and two between \$10M and \$100M, our annual lead time will be an estimated 680 days each year.

Other considerations and limitations: While this acquisition strategy has been used by SAC to award general construction and renovation, the increased cycle time decreases the quality of service to SAC’s clients by increased acquisition cycle time. Further, SAC leadership has identified that, due to SAC’s robust construction program, continuing to award individual contracts for each construction need is not sustainable due to constrained personnel resources. Given SAC’s finite resources, the time required to award a standalone contract versus individual task orders against a MATOC is

significantly higher, less efficient, and endangers milestone and/or mission requirements for many projects.

Furthermore, repeated use of this strategy constrains limited SAC resources due to increased effort in preparation and review of full contract plans and specifications, contract document preparation, coordination with the Small Business Administration, and post-award plan review/acceptance.

- b. Alternative 2: Lesser Degree of Consolidation – Awarding multiple Single Award Task Order Contracts (SATOCs) based on geographical area that cover the entirety of the scope of the contract.

Cost Risk: The cost risk in utilizing this procurement type is Medium. This strategy would require more effort to award all the required SATOCs to cover the required area. Further, there is a significant difference in administrative costs associated with executing and administering a MATOC compared to multiple SATOCs that cover the same scope. Multiple SATOCs are not advantageous to the Government due to the costs of procurement, implementation, administration, and oversight associated with each.

Performance Risk: Performance risk is High. SATOCs have inherent performance risk. A contractor may demonstrate poor performance in the execution of its SATOC projects. If that risk were realized, there is very little remedy available for the Government to respond timely to other requirements. SATOCs provide limited parameters across the board and would require multiple SATOCs in order to meet the full scope mission requirements and leverage the marketplace's capabilities to successfully complete complex projects.

Schedule Risk: The Schedule risk is Low. The schedule risk is much lower than Alternative 1. Awarding as multiple SATOCs would require the pre-award activities be completed only once for each IDIQ to cover the five (5) year performance period, rather than each time for a multiple number of individual standalone contracts. This decreases acquisition efforts.

SAC considered the award of multiple SATOCs with respective regions to cover the entire Eastern United States. As previously noted, establishing a MATOC pool of experienced contractors to service their respective regions provides the highest degree of consistency across the program in the quality of performance. A MATOC's pool of contractors will be selected based on their past experience performing design build construction services. The contractors will gain further experience through the iterative process of responding to RFPs and executing projects. It has been SAC's experience that MATOC pool contractors develop into a cadre of more highly qualified and competitive offerors than is available in the general contractor community. Contractors awarded individual SATOCs would be selected on similar past performance and experience factors as MATOC contractors and could increase their experience through the iterative task order process of negotiations and performance. The SATOC

contracting approach, however, presents the risk that a contractor may demonstrate poor performance in the execution of its SATOC projects. If that risk were realized, there is very little remedy available for the Government to respond timely to other requirements. It is procedurally difficult to remove a contractor, and a new IDIQ contract would have to be put in place before any task orders could be utilized to award to any other contractor. Re-procuring a task order requirement under a MATOC would be significantly simpler, quicker, and less expensive than initiating a competition to replace a SATOC contractor. As a general matter, competition is encouraged, even for task orders for IDIQ contracts. For example, FAR 16.504(c)(1)(ii)(D) has strict requirements for implementing SATOC's over \$100M. While SATOCs that would be awarded under this alternative would be under \$100M, and could be allowed, the general preference remains that competition be encouraged on the task order level and the use of SATOCs in this case is deemed not to be beneficial in meeting any government requirement. Additionally, the MATOC strategy is offering approximately seven (7) total contracts, and the SATOC strategy would likely not yield seven different SATOCs as the distribution of projects would not correlate with the creation of that many regional SATOCs. Additionally, SAC does not have the human capital needed to manage seven different SATOCs as each task order executed under a SATOC would require more extensive and detailed proposal evaluations and negotiations compared to a competitive acquisition that is experienced under a MATOC. Lastly, while in theory this SATOC approach would involve lesser degree of consolidation, it also removes the competitive pricing found within the use of a MATOC. Thus, the government will find themselves paying higher prices for each of the requirements throughout the five (5) year period.

A summary of the acquisition alternatives is included as follows:

Table 5: Summary of Acquisition Alternatives

Risk Factors	Alt. 1: No Consolidation	Alt. 2: Lower Degree of Consolidation
Cost	Low	Medium
Performance	Medium	High
Schedule	High	Low

Selection of Best Alternative: Based on assessment of each alternative relative to risk associated with cost, performance and schedule, utilizing a MATOC was determined to provide the most value when compared to the other alternatives. Based on the results of market research, it was determined that there is an expectation of receiving sufficient competition for the target MATOC pool. Additionally, \$[REDACTED] is the approximate capacity needed to award all anticipated construction work planned for SAC's programs over the next five (5) years.

The decision for this alternative was largely driven by decreased acquisition cycle times for future projects. Using individual procurements for each project greatly increases

acquisition efforts and costs. This would also have a significant negative impact on end of year execution due to the time frame in which significant expiring funds are received by the District and resources are strained.

Using the acquisition cycle times (see Alternative 1) and estimating an average of four (4) actions per year under this proposed MATOC, SAC would save an estimated 2,000 days (assuming 3 design build, and 1 design-bid-build procurements per year) of total acquisition cycle time over the course of the five-year MATOC period of performance.

The use of task orders under a MATOC streamlines the procurement process and is significantly more expeditious than a single award "C" contract strategy. Historically, the required Procurement Acquisition Lead Time (PALT) for a design-bid-build "C" contract using Invitation for Bid (IFB) takes a minimum of 120 days and includes internal reviews (District Quality Control (DQC), Agency Technical Review (ATR), and Biddability, Constructability, Operability, Environmental, and Sustainability (BCOES)), procurement related activities, such as market research, coordination with SBA, creating solicitation, legal review, and administrative activities necessary for soliciting/awarding the contract. The PALT for a two-phase design-build with similar size and complexity is approximately 220 days. Having multiple projects under development at the same time for similar work would result in overlapping reviews, tie up labor resources, and decrease administrative efficiencies. In addition, the likelihood exists that the same SAC personnel would be working on multiple projects, increasing the time required from project start to contract award for the individual projects. In contrast, task orders under a MATOC do not require significant advance notice, voluminous solicitations and proposal reviews. The historical PALT, i.e., the time it takes from Contracting receiving all the necessary documents until contract award for Design-Build MATOC Task Orders procedures is 60-80 days. This reduced lead time allows SAC to respond faster, increasing the success of the overall mission.

Very often, requests for execution of work are not received by SAC until the third and fourth quarters of the fiscal year. The late project priority determinations by customers and corresponding late delivery of funding necessitates that SAC utilize flexible and efficient procurement strategies. These externally imposed end-of-year procurement requirements are most successfully addressed by the streamlined acquisition procedures provided under FAR Part 16, where there is no requirement to advertise a project for 15 days, or to provide prospective contractors 30 days to submit a proposal. Accordingly, if SAC is constrained to "C" contracts for each project, any requirements that are presented in the fourth quarter would be at significant risk, or impossible, to award before funds cease to be available for obligation within the corresponding fiscal year.

Other considerations and limitations: The government also considered the use of 8(a) sole source contracts for actions to fulfill the needs of this program. However, that strategy would only apply to those procurements not using the two-phase design-build procedures at FAR 36.3. It is important to note that many procurements under this

planned contract will be design-build construction projects that are required to use two-phase selection procedures.

6. Consolidation Benefit Analysis:

Cost Risk: Cost risk is Low. Utilizing a MATOC Pool allows each task order to be competed to the MATOC pool. This will allow for price competition. The ongoing competition for individual task order promotes competitive pricing for each project.

Performance Risk: Performance risk is Low. By establishing a MATOC pool of contractors that have direct experience with the construction activities and satisfactory past performance, there would be little performance risk associated with each task order. Also, the task order competitions could be structured to mitigate any significant performance risks inherent with that specific acquisition. Unlike Alternative 1, this alternative helps to also encourage the development of a long-term relationship between the Government and the MATOC contractors by allowing us to have a continuous relationship. Efficiencies are created in submittals, and with that the review process becomes more streamlined. The government and the contractor are then able to more readily review and process submittals.

Schedule Risk: The Schedule risk is Low. The schedule risk is much lower than Alternative 1. Awarding this proposed MATOC would require the pre-award activities be completed only once for each IDIQ to cover the five (5) year performance period, rather than each time for a multiple number of individual standalone contracts. This decreases acquisition efforts and costs. This would also have a significant benefit end-of-year execution where personnel resources are ready significantly strained.

Table 6: Risk Factors

Risk Factors	Regional MATOCs
Cost	Low
Performance	Low
Schedule	Low

The following is an analysis of various benefits of procuring a MATOC under this acquisition:

- a. Cost Savings: In accordance with FAR 7.107-2(d)(1) "Benefits that are quantifiable in dollar amounts are substantial if individually, in combination, or in the aggregate the anticipated financial benefits are equivalent to-
 - i. Ten percent of the estimated contract or order value (including options) if the value is \$ [REDACTED] million or less; or

- ii. Five percent of the estimated contract or order value (including options) or \$ [REDACTED] million, whichever is greater, if the value exceeds \$ [REDACTED].

Benefits that are not quantifiable in dollar amounts shall be specifically identified and otherwise quantified to the extent feasible.

Per 15 U.S.C. § 657q(c)(2)(B), “savings in administrative or personnel costs alone do not constitute a sufficient justification for a consolidation of contract requirements” unless the total amount of the cost savings is expected to be substantial in relation to the total cost of the procurement.

The largest cost savings are expected to be realized by continuing to shift procurements from individual “C” contracts to task order procurements.

Under this MATOC it is estimated that of the four (4) task orders per year approximately three (3) would be Design-Build projects that must be procured as two-phase individual procurements, or “C” contracts. One (1) task order per year are anticipated to be design-bid-build.

The rates referenced below are based on SAC’s current published rate schedule for Contracting labor hours only.

Table 7: CT Procurement Cost

Type	Cost	Basis
Award of Two-Phase D-B MATOC Pool	\$71,243	Based on 545 hours
Award of MATOC Task Order	\$19,241	Based on 148 hours
Award of One-Phase “C” contract from RFP	\$40,208	Based on 315 hours
Award of Two-Phase D-B “C” contract from RFP	\$61,868	Based on 478 hours

The award of one MATOC pool is expected to cost \$71,243 in contracting labor, and, on average SAC expects to award 4 task orders per year on the proposed MATOC for a total of \$76,964. Over five (5) years that would amount to \$384,820.00. The total cost to support this MATOC and the subsequent task orders is \$456,063.00.

Table 8: CT Procurement Cost – Scenario 1

Contract	QTY	Cost	First Year	Five Years
MATOC Pool	1	\$ 71,243.00	\$ 71,243.00	\$ 71,243.00
Task Orders	4	\$ 19,241.00	\$ 76,964.00	\$ 384,820.00
Total				\$ 456,063.00

If SAC were to utilize one (1) One-Phase (design-bid-build) “C” contract actions per year in combination with three (3) Two-Phase (design-build) “C” contract actions, each year it would cost \$225,812.00. Over five (5) years, it amounts to \$1,129,060.

Table 9: CT Procurement Cost – Scenario 2

Contract	QTY	Cost	First Year	Five Years
One-Phase (design-bid-build)	1	\$ 40,208.00	\$ 40,208.00	\$ 201,040.00
Two-Phase (design-build)	3	\$ 61,868.00	\$ 185,604.00	\$ 928,020.00
Total			\$ 225,812.00	\$ 1,129,060.00

An administrative savings of \$672,997.00 (\$1,129,060 - \$456,063) is expected by utilizing this new strategy. Those savings only account for the Contracting Division’s time and effort. It is noted that further administrative labor savings would be actualized with other disciplines outside of Contracting.

Table 10: CT Procurement Cost Difference

Strategy	Cost
C-Type Contracts	\$ 1,129,060.00
MATOC Strategy	\$ 456,063.00
Savings	\$ 672,997.00

The estimated administrative labor savings of \$672,997.00 represents ██████% of the combined MATOC values of \$█████. Further procurement savings would be actualized with other disciplines outside of Contracting; however, *those savings would not increase the quantifiable savings to the 5% of the contract value.*

- b. Quality: Establishing a MATOC of contractors that have direct experience with the required construction activities and satisfactory past performance would result in a reduction in quality risk associated with task orders under an established MATOC versus individual stand-alone contracts. Also, the task order competitions could be structured to mitigate any significant quality risks inherent with that specific acquisition.
- c. Acquisition Cycle Times: The effort required for multiple procurements would result in schedule delays that impact mission requirements.

The time required to award a standalone contract versus individual task orders against a MATOC is significantly higher, less efficient, and would potentially not allow SAC to meet all milestones and/or mission requirements. A standalone construction contract will take between 120 days and 220 days depending on the estimated value of the requirement. Half of the work, about 50%, would fall in the 120 days range. Assuming 4 actions a year with two actions between \$10M and \$100M, our annual lead time will be 680 days each year. Conversely, awarding this proposed MATOC would require the pre-award activities be completed only once for each IDIQ to cover the five (5) year performance period, rather than each time for a multiple number of individual

standalone contracts. This decreases acquisition efforts and costs. A task order under the IDIQ would take between 60 and 80 days depending on the estimated value of the requirement. Making the same assumption as above, the 4 actions a year would take 280 days each year to complete. This would also have a significant benefit end-of-year execution where personnel resources are ready significantly strained.

Table 11: CT Procurement Times (days)

Type	Days	QTY	Year One	Year Five
MATOC Task Order \$250K-\$10M	60	2	120	600
MATOC Task Order \$10M-\$100M	80	2	160	800
		Total	280	1400
Standalone Contract \$250K-\$10M	120	2	240	1200
Standalone Contract \$10M-\$100M	220	2	440	2200
		Total	680	3400
Savings over 5 years			2000	Days

*Timelines are IAW Department of the Army FY24 PALT Guidance signed 9 April 2024.

Using the aforementioned acquisition cycle times and estimating an average of four (4) actions per year under this proposed MATOC, SAC would save an estimated 2,000 days of acquisition cycle time over the course of the five-year MATOC period of performance.

- d. Terms and Conditions: There is anticipated to be no difference in terms and conditions between various acquisition methods.
- e. Conclusion: Standalone contracts for all the DB/DBB construction needs is not a plausible method for procurement or an efficient use of resources. Individual procurement actions for each project would increase redundancy, increase cost, lessen response time, and provide a lower level of overall service for this program. Utilizing a MATOC will allow the contractors to have familiarity with performance and work expectations and will substantially reduce the risk of performance issues, terminations, protests and other disputes that often arise during individual contract award. In addition, project familiarity and requirements will lead to increased efficiencies for contractors during the contract period of performance.

While it is noted that the expected quantifiable benefits are meaningful, they do not meet the thresholds for a substantial benefit at FAR 7.107-2(d)(1)(ii) and justify consolidation on the merit of cost savings alone. However, based on reasoning provided in this analysis, having a construction MATOC tool in place is critical to the success of SAC's programs for the primary reason of acquisition cycle time (FAR 7.107-2(c)(2)). A small business set-aside for this MATOC pools allows us to maximize small business participation.

Table 12: CT Procurement Benefit Comparison

Benefit		Consolidation	Consolidation
	Stand-Alone "C" Contract	SATOCs	Regional MATOCs
Quality	Highest	Average to High	Highest
Acquisition Cycle*	120 - 220 Days	45 -60 Days	60 - 80 Days
Terms & Conditions	No Difference	No Difference	No Difference
Administrative Cost	High	High	Low

* Complete package submittal to Award

7. Bundling:

In accordance with FAR 7.107 - If Bundling is applicable, additional documentation is required to support the benefit of bundling and must be addressed here. If Substantial Bundling is applicable, ensure FAR 7.107-4(b)(1-6) is documented in the agency's strategy.

- a. Definition of Bundling: FAR 2.101 defines bundling as consolidating two (2) or more requirements for supplies or services, previously provided or performed under separate smaller contracts, into a solicitation for a single contract that is likely to be unsuitable for award to a small business concern due to: (i) The diversity, size or specialized nature of the elements of the performance specified; (ii) The aggregate dollar value of the anticipated award; (iii) The geographical dispersion of the contract performance sites; or (iv) Any combination of the factors described in paragraphs (i) through (iii) of this definition.
- b. Applicability of FAR Bundling Definition: Since this acquisition is to be set-aside for small business concerns, it does not meet the definition of bundling.
- c. Definition of the Competition in Contracting Act (CICA) Bundling Principle: This principle, as developed by the Government Accountability Office (GAO) case law, focuses on whether the combined requirement (new, old, or otherwise) restricts competition, and whether the agency is consolidating or bundling a new requirement unnecessarily. In order to justify CICA Bundling, the agency must show "a reasonable basis for why the bundling is necessary to meet the agency need." (Vantex Serv., Inc., B-29041 5, Aug. 8, 2002, and Outdoor Venture Corp., B-299675; B-299676, Jul. 19, 2007). The CICA requires solicitations to provide for full and open competition except where restrictions on competition are necessary to satisfy the procuring agency's needs. In such a case, restrictions on competition are allowed but only to the extent necessary to satisfy the agency's needs. Bundled procurements combine separate

requirements into one contract; thus, they have the potential to restrict competition in violation of CICA by excluding firms that can provide only one portion of the bundled requirement.

- d. Applicability of CICA Bundling Principle: Although this action constitutes CICA bundling by combining like and related construction and MILCON support with design capabilities, it is consistent with industry practice and necessary to satisfy the customers' needs. This procurement will allow SAC to leverage economies of scale, streamline acquisition cycles, and eliminate duplication of efforts by establishing MATOCs with responsive and responsible contractors to perform individual task orders as the need arises. This is critical given the SAC's mission to support a variety of different customers (DLA, MFR, Army, and 81st Readiness Division) across United States.

8. Considerations, Facts, Reasoning Supporting the Determination: All facts, considerations and rationale have been covered previously in the findings. The DD 2579 was prepared, reviewed, and signed by the Contracting Officer, Deputy for Small Business, and the Small Business Administration (SBA) Procurement Center Representative (PCR).

9. Summary:

Though this MATOC constitutes consolidation in that it combines construction at two (2) or more discrete sites, this approach provides the best combination of competitive procedures, timely acquisition, cost efficiency, quality, and capable prime contractors to execute the requirements. The quantifiable benefits of consolidation are \$672,997.00 or [REDACTED] % of the estimated MATOC value, which does not exceed the minimum standard of 5% applicable to this acquisition (FAR 7.107-2(d)(1)(ii)). However, this savings is significantly supplemented by decreased acquisition cycle times and increased contractor/government relationships that will save time or improve or enhance performance and/or efficiency. Other acquisition alternatives were considered but would result in higher costs and increased acquisition cycle time that would be detrimental to the missions entrusted to SAC.

The consolidated approach provides advantages that substantially exceed the benefits of alternate approaches. Based on sound business judgment in view of the size, complexity, and number of efforts to be executed for SAC customers, the findings of the market research, and the documentation provided herein, consolidation of requirements is both necessary and justified.

CONSOLIDATION OF CONTRACT REQUIREMENTS DETERMINATION
for
W912HP25RA005
FY25 Design Build/Design Bid Build (DB/DBB) General Construction East
Multiple Award Task Order Contract (MATOC)

The following signatures indicate concurrence with the contents of this document:

[Redacted Signature]

[Redacted Name]

Program Manager, Charleston District

[Redacted Signature]

[Redacted Name]

Assistant District Counsel, Charleston District

[Redacted Signature]

[Redacted Name]

Deputy for Small Business Programs, Charleston District

[Redacted Signature]

[Redacted Name]

Contracting Officer, Charleston District

DETERMINATION

Based on the foregoing rationale, I hereby determine, pursuant to the Federal Acquisition Regulation Supplement 7.107-2 and Army Federal Acquisition Regulation Supplement 5107.107, that the consolidation of the requirements for FY25 Design Build/Design Bid Build (DB/DBB) General Construction East Multiple Award Task Order Contract (MATOC) is both necessary and justified and will serve the best interests of the Government.



Chief, Contracting Division, Charleston District